

DON'T PATENT THAT!

- *Process vs. product.* Generally, products make more sense to patent because you want to sell them to the public, and many products can be reverse-engineered, which can destroy a trade secret. Processes and recipes lend themselves better to trade secret protection. Most processes and recipes can typically be kept under lock and key and used behind closed doors.

- *Patent eligibility.* Some things simply are not eligible for patent protection in the first place: laws of nature or abstract ideas. For example, many ideas involving the use of software are not patentable. But many things that you cannot typically patent (customer lists, software, bill of materials, suppliers, etc.) can all be kept as secrets so long as they are not generally known and indeed kept secret.

- *Cost vs. benefit.* Let's face it, filing a patent application is not free. Not disclosing your invention to others is. For close calls, sometimes it just comes down to economics. If the invention really does not provide a huge competitive advantage, then it may make sense simply not to tell anyone about it and maintain it as a secret, because it costs very little to do.

- *Start-ups.* Slightly different rules may apply for start-up companies looking for investors. No investor would invest in a company that says it has a trade secret but cannot say what it is. Patent applications provide a convenient way for start-up companies to establish ownership of a technology and then disclose their invention to investors with confidence.